

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/articles/nvidia-profit-more-than-doubles-as-revenue-tops-guidance-1478815878>

TECH

Nvidia Profit More Than Doubles as Revenue Tops Guidance

Chip maker increases dividend to 14 cents and lifts revenue forecast

By Josh Beckerman

Updated Nov. 10, 2016 at 8:20 pm ET



The logo of technology company Nvidia at its headquarters in Santa Clara, Calif., in 2015. REUTERS

Nvidia Corp.'s NVDA **-3.75% ▼** robust earnings and revenue growth continued in the third quarter as new products like Pascal graphics processing units fared well.

The chip maker's profit more than doubled and it raised its dividend to 14 cents from 11.5 cents.

Revenue was far above the company's projections, with fourth-quarter sales guidance well above Wall Street estimates.

The company had a market value of more than \$36 billion as of 4 p.m. Thursday afternoon. Its shares rose 16% to \$78.30 in after-hours trading.

The company projects fourth-quarter revenue of \$2.1 billion, plus or minus 2%, while analysts polled by Thomson Reuters project \$1.69 billion.

Nvidia, based in Santa Clara, Calif., is known for graphics processing units used in gaming software, and has expanded in new sectors ranging from virtual reality to self-driving cars.

The company said its “breakout quarter” included strength across all product lines. Automotive revenue was \$127 million, primarily from “infotainment modules,” representing a 61% increase.

Over all, for the quarter ended Oct. 30, net income was \$542 million, or 83 cents a share, compared with \$246 million, or 44 cents a share, a year earlier. Excluding stock-based compensation and other items, earnings rose to 94 cents a share from 46 cents. Analysts had expected 57 cents a share.

Revenue increased 54% to \$2 billion, compared with Nvidia’s guidance of \$1.68 billion, plus or minus 2%.

Patrick Moorhead, an analyst with Moor Insights & Strategy, said Nvidia “had a stellar quarter” and that “it’s hard to spot a hole right now in their lineup.”

Nvidia’s recent products include the Titan X chip for gaming enthusiasts and a palm-sized circuit board called PX 2 used for automated-driving and mapping functions.

The company also said it added \$2 billion to its stock-buyback program, bringing it to nearly \$3 billion in total.

Write to Josh Beckerman at josh.beckerman@wsj.com

